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Prepared By: Arif Rahmanulloh

Approved By: Jasmine Osinski

Report Highlights:

Indonesia kicked off 2022 by rolling out several market intervention policies in response to recent rising prices for cooking oil. From January 19-31, 2022, Indonesia implemented a temporary cooking oil subsidy program utilizing the Crude Palm Oil (CPO) fund, the same funding source that subsidizes the biodiesel mandate program. Additionally, on January 27, Indonesia enacted a Domestic Market Obligation (DMO) policy requiring exporters of palm oil products to sell 20 percent of their total export volume domestically, essentially restricting exports of palm oil products to bolster domestic supplies. Previously, no form of export approval was required for palm oil products. In a related move, the retail price for cooking oil is now capped at 14,000 IDR (\$0.90) per liter.

Commodity:
Oil, palm

Production

The 2021/22 forecast for Indonesia palm oil production is unchanged from the previous update at 45.5 million metric tons (MMT). This forecast is up 6 percent from 2020/21 production estimates of 43 MMT on favorable weather, high prices, and increased use of fertilizer (see [IDN2021-0012](#)).

Consumption

Post revises 2021/22 palm oil consumption to 16.05 MMT, up 50,000 MT from the previous estimate on anticipated higher consumption in the food sector due to the Government of Indonesia (GOI)'s temporary [subsidy](#) for cooking oil. From January 19-31, 2022, in response to rising cooking oil prices, the GOI implemented a cooking oil subsidy program allocating 7.6 trillion Indonesian Rupiah (IDR) (\$530 million) from the Crude Palm Oil (CPO). The subsidies were disbursed to companies participating in the program who must procure and deliver palm oil-based cooking oil through their distribution networks. The participating companies must cap the retail price for cooking oil at 14,000 IDR (\$0.9) per liter. On February 1, 2022, the GOI set ceiling prices for various packaging types of cooking oil as outlined in Table 1.

Image 1. Cooking Oil, Premium Package



Source: FAS Jakarta

Table 1. Cooking Oil Ceiling Prices Set by GOI as of Feb 1, 2022

Cooking Oil Package Type ¹	Ceiling Price (IDR per liter)
Premium Package	14,000
Simple Package	13,500
Bulk	11,500

Source: Ministry of Trade (MOT)

¹ Cooking Oil Packaging Types:

Premium packaging – fully-labeled 1-, 2-, or 5-liter containers

Simple packaging – minimally labeled, low quality packaging, intended for low-to-medium income consumers, sometimes sold in less than 1-liter containers.

“Bulk” packaging – bulk packaged oil for retail sale is repackaged from 25-liter jerrycans into unlabeled, unsealed plastic bags, sold at traditional wet markets and informal neighborhood kiosks. The GOI has repeatedly tried unsuccessfully to ban this form of unhygienic cooking oil repackaging.

Image 2-3. “Bulk” Cooking Oil Sold at Indonesian Wet Market



Source: FAS Jakarta

Industrial palm oil consumption is expected to reach 9.6 MMT in 2021/22, up from 8.8 MMT in 2020/21, driven by the biodiesel mandate program. The GOI is keeping the biodiesel program’s blending rate at 30 percent for 2022 by setting biodiesel allocations at 10.1 billion liters, up from 9.2 billion liters last year (see [ID2021-0043](#)). The program is subsidized by the CPO fund, which collects export levies on palm oil products. Data from the Ministry of Energy and Mineral Resource (ESDM) show the biodiesel subsidy remained high in January 2022, peaking at 5,671 IDR (\$0.4) per liter, 29 percent higher than the average subsidy rate for 2021.

BPDPKS, the agency managing the CPO fund, reported total export levy revenue in 2021 at 71 trillion IDR (\$4.9 billion) and distributed 52 trillion IDR (\$3.6 billion) in biodiesel subsidies in the same period. The diversion of funds to the temporary cooking oil subsidy only slightly undercut the CPO fund’s ability to finance the biodiesel program in the short term. However, decreasing CPO export volumes due to the new Domestic Market Obligation policy are expected to further drain the availability of funds (see Trade section). Despite the expected decline in export volumes, assuming collected export levies remain high in Q1 of 2022, the CPO fund is expected to be able to cover the widening spread between palm-oil based biodiesel and diesel, likely paying out a total of \$4.04 billion in biodiesel subsidies for the year (see Table 2).

Table 2. Indonesia: Subsidies and Export Levy Scenarios 2022

Palm Oil Products Export (MMT)		Cooking oil subsidy	0.53
Low	24	Biodiesel consumption (bn liter)	10.1
High	29		
Levy collected (\$ bn)		Average spread (\$/liter)	
Low	3.28	Low	0.22
High	3.96		
Balance as of Dec 2021 (\$ bn)	1.78	High	0.40
Est Available Fund (\$ bn)		Est Biodiesel Subsidy (\$ bn)	
Low	4.53	Low	2.22
High	5.21	High	4.04

Source: FAS Jakarta

Trade

Palm oil exports for 2021/22 are revised down two percent to 29.8 MMT due to new policies restricting exports. Through [Ministry of Trade \(MOT\) Regulation No. 2/2022](#), the GOI enacted new requirements for exporting palm oil products. Exporters are now required to submit several documents to obtain approval to export, including an Export Plan and a Domestic Distribution Plan. Prior to this regulation, no form of export approval was required for palm oil products. Additionally, on January 27, 2022, the GOI enacted a Domestic Market Obligation (DMO) policy requiring exporters to sell 20 percent of their export volume to the domestic market. This policy aims to control domestic supplies after cooking oil prices surged more than 30 percent since early 2021. These policies apply to CPO; refined, bleached, deodorized (RBD) palm olein; used cooking oil (UCO), and residuals.

The pace of Indonesia's palm oil exports is expected to slow as some refineries without domestic distribution channels struggle to adapt to these new policies. The GOI also fixed prices for both CPO and olein sold domestically at 9,300 IDR (\$ 0.65) per kg and 10,300 IDR (\$ 0.72) per kg respectively. In the first two months of 2021/22, export shipments reached 3.9 MMT, 17 percent lower compared to same period last year.

Indonesia's main palm oil markets in 2021/22 are China, India, Pakistan, and Malaysia. India's market stands to be the most affected by Indonesia's new export restrictions as the country relies more heavily on imports of CPO than refined palm oil products. India imported 67 percent of Indonesia's total 2020/21 CPO exports.

Table 3. Production Supply and Distribution (PSD) for Palm Oil, 2019/20-2021/22

Oil, Palm	2019/2020		2020/2021		2021/2022	
Market Begin Year	Oct-19		Oct-20		Oct-21	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	11,750	15,104	11,950	15,700	12,100	15,700
Beginning Stocks	2,909	2,909	4,626	4,626	5,977	5,877
Production	42,500	42,500	43,500	43,000	44,500	45,500
MY Imports	11	11	-	-	-	-
Total Supply	45,420	45,420	48,126	47,626	50,477	51,377
MY Exports	26,249	26,249	26,874	26,874	29,500	29,800
Industrial Dom. Cons.	8,300	8,300	8,800	8,800	8,800	9,600
Food Use Dom. Cons.	5,970	5,970	6,200	5,800	6,370	6,150
Feed Waste Dom. Cons.	275	275	275	275	275	300
Total Dom. Cons.	14,545	14,545	15,275	14,875	15,445	16,050
Ending Stocks	4,626	4,626	5,977	5,877	5,532	5,527
Total Distribution	45,420	45,420	48,126	47,626	50,477	51,377
	0	0	0	0	0	0
(1000 HA) ,(1000 TREES) ,(1000 MT)						

Source: FAS Jakarta

Commodity:

Oilseed, soy

Production

The 2021/22 forecast for Indonesia soybean production is unchanged from the previous Oilseeds and Products Update at 425,000 MT, a decrease of 50,000 MT from 2020/21 production due to unfavorable weather and the continued preference of farmers to plant rice and corn over soy (see [ID2021-0043](#)).

Consumption

Soybean consumption for 2021/22 is unchanged from the previous estimate at 3.2 MMT, an increase of 50,000 MT from 2020/21 on continued rising demand from the tempeh and tofu industry. Tempeh and tofu are affordable protein sources and a staple for the large population centers in Java and Sumatera. Demand for traditional soy-based food from restaurants and the food service industry has been gradually rising since the easing of social distancing restrictions starting in September 2021.

In early January 2022, soybean retail prices rose slightly from an average of 9,000 IDR (\$ 0.63) per kg to 10,000 IDR (\$ 0.70) per kg, following international market prices. As the majority of tempeh and tofu producers are home-based cottage industries, rising soybean retail prices are

likely affecting their daily operational costs. Most producers would rather reduce the size of their tempeh or tofu portions than increase their selling price.

Trade

Post maintains its 2021/22 soybean import forecast at 2.8 MMT, 7 percent higher than 2020/21 imports on continued rising demand from the tempeh and tofu industry. The United States remains the main source of Indonesian soybean imports with 88 percent share of the market, followed by Canada (10 percent).

Soybean shipments to Indonesia in early 2021/22 showed a slower pace due to higher prices. From August 2021 to January 20, 2022, [U.S. export sales](#) data show aggregate soybean shipments to Indonesia reached 529,000 MT, 42 percent lower than the same period last year. Indonesia's soybean imports from October to November, 2021 reached 283,000 MT, 28 percent lower than the same period last year.

Table 4. Production Supply and Distribution (PSD) for Soybean, 2019/20-2021/22

Oilseed, Soybean	2019/2020		2020/2021		2021/2022	
Market Begin Year	Oct-19		Oct-20		Oct-21	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	400	400	390	390	350	350
Beginning Stocks	226	226	185	185	145	127
Production	480	480	475	475	425	425
MY Imports	2,636	2,636	2,617	2,617	2,700	2,800
Total Supply	3,342	3,342	3,277	3,277	3,270	3,352
MY Exports	3	3	2	2	2	2
Crush	0	0	0	0	0	0
Food Use Dom. Cons.	2,980	2,980	2,980	2,990	2,980	3,040
Feed Waste Dom. Cons.	174	174	150	158	170	160
Total Dom. Cons.	3,154	3,154	3,130	3,148	3,150	3,200
Ending Stocks	185	185	145	127	118	150
Total Distribution	3,342	3,342	3,277	3,277	3,270	3,352
	0	0	0	0	0	0

(1000 HA) ,(1000 MT)

Source: FAS Jakarta

Commodity:
Meal, soy

Production

Indonesia does not produce soybean meal.

Consumption

The forecast for Indonesia's 2021/22 soybean meal consumption is unchanged at 5.35 MMT, 300,000 MT higher than the previous year on continued rising demand from the feed industry. Poultry feed is expected to continue to be the main source of soybean meal demand in 2021/22 as 90 out of 94 feed millers across Indonesia are linked to the poultry industry. The average inclusion rate of soybean meal for poultry feed is 25 percent.

Trade

Post revises Indonesia's 2021/22 soybean meal imports down slightly from the previous update to 5.2 million MT on importers' perceived improvements in supply chains. South American soybean meal made up more than 90 percent of total imports on price competitiveness. Higher than usual shipments of U.S. soybean meal to Indonesia in 2020/21 were attributed to narrower price spreads with South American soybean meal from February to April 2021.

Table 5. Production Supply and Distribution (PSD) for Soybean Meal, 2019/20-2021/22

Meal, Soybean	2019/2020		2020/2021		2021/2022	
Market Begin Year	Oct-19		Oct-20		Oct-21	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	-	-	-	-	-	-
Extr. Rate, 999.9999	-	-	-	-	-	-
Beginning Stocks	124	124	207	207	270	493
Production	-	-	-	-	-	-
MY Imports	5,043	5,043	5,336	5,336	5,250	5,200
Total Supply	5,167	5,167	5,543	5,543	5,520	5,693
MY Exports	-	-	-	-	-	-
Industrial Dom. Cons.	-	-	-	-	-	-
Food Use Dom. Cons.	-	-	-	-	-	-
Feed Waste Dom. Cons.	4,960	4,960	5,273	5,050	5,250	5,350
Total Dom. Cons.	4,960	4,960	5,273	5,050	5,250	5,350
Ending Stocks	207	207	270	493	270	343
Total Distribution	5,167	5,167	5,543	5,543	5,520	5,693
	-	-	-	-	-	-
(1000 MT) ,(PERCENT)						

Source: FAS Jakarta

Attachments:

No Attachments